AUDITIT DEMO REPORT

Northwind Cloud Systems, Inc.
Consolidated Financial Statements
Fiscal Year 2024

Prepared for product demonstration purposes
All amounts in thousands except per share data

CONSOLIDATED STATEMENTS OF OPERATIONS
(In thousands, except per share data)

Line Item	2024
Revenue	$18,420
Cost of Sales	$6,840
Gross Margin	$11,580
Research and Development	$2,150
SG&A	$3,420
Operating Expenses	$5,570
Operating Income	$6,010
Interest Expense	$420
Tax Expense	$1,230
Net Income	$4,360

CONSOLIDATED BALANCE SHEETS - SELECTED DATA
(In thousands)

Line Item	2024
Current Assets	$12,400
Current Liabilities	$5,200
Working Capital	$7,200
Total Debt	$3,000
Debt to Equity	0.52

CONSOLIDATED CASH FLOW HIGHLIGHTS
(In thousands)

Line Item	2024
Net Cash from Operations	$5,560
Net Change in Cash	$4,460

MANAGEMENT’S DISCUSSION AND ANALYSIS
Fiscal Year 2024 Compared to Fiscal Year 2023

Revenue was $18.4 million in 2024, an increase of 23.6% from $14.9 million in 2023.
Revenue was driven by enterprise customer growth.
Gross Margin was driven by Revenue.
Gross Margin was offset by Cost of Sales.
Operating Income was driven by Gross Margin.
Operating Income was offset by Operating Expenses.
Operating Income was offset by Research and Development.
Net Income was driven by Operating Income.
Net Income was offset by Interest Expense.
Net Income was offset by Tax Expense.
Working Capital was driven by Current Assets.
Working Capital was offset by Current Liabilities.
Debt to Equity was driven by Total Debt.
Net Cash from Operations was driven by Operating Income.
Net Change in Cash was driven by Net Cash from Operations.

NOTE 1 - REVENUE RECOGNITION

Revenue is recognized when control of the subscription service is transferred to the custo
The Company’s subscription arrangements are generally billed annually in advance.
Revenue growth was supported by enterprise customer additions and expansion within existin

NOTE 2 - LIQUIDITY AND CAPITAL RESOURCES

Liquidity discussion for fiscal 2024 follows.
Working Capital was driven by Current Assets.
Working Capital was offset by Current Liabilities.
The Company believes its cash and cash equivalents are sufficient to fund operations for t
Debt to Equity was driven by Total Debt.